Practice workbook · Demand for labour: what makes firms hire

Labour demand as derived from demand for the final product, affected by machines as substitutes and by workforce productivity.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T12-17

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

OLevels.COM — SCHOOL —

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

Figure 1 shows the market for cars.

(g) Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

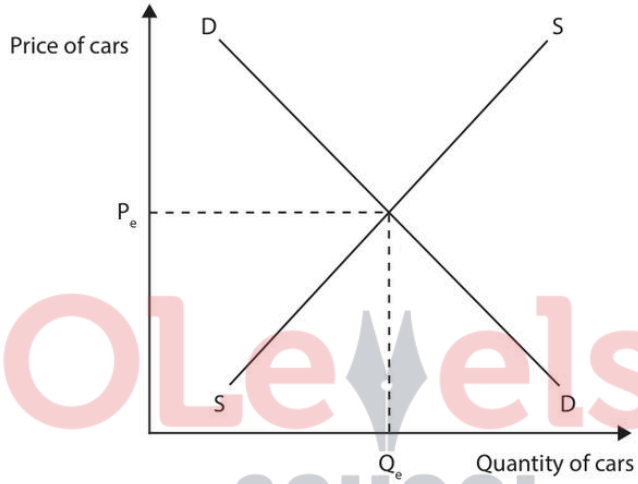


Figure 1

In April 2023, the Competition and Markets Authority (CMA), the competition regulator in the UK, prevented the purchase of Activision by Microsoft. Microsoft already controlled about 60–70% of the market for online video gaming.

(h) Explain **one** reason why the CMA may have made this decision.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 2 1 3 2 A 0 4 2 4

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

As a result of changes in consumer tastes, the demand for furniture made of wood is expected to increase by about 5% in the next five years. Woodcutters are employed to cut down trees to produce the wood required to make furniture.

(i) With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

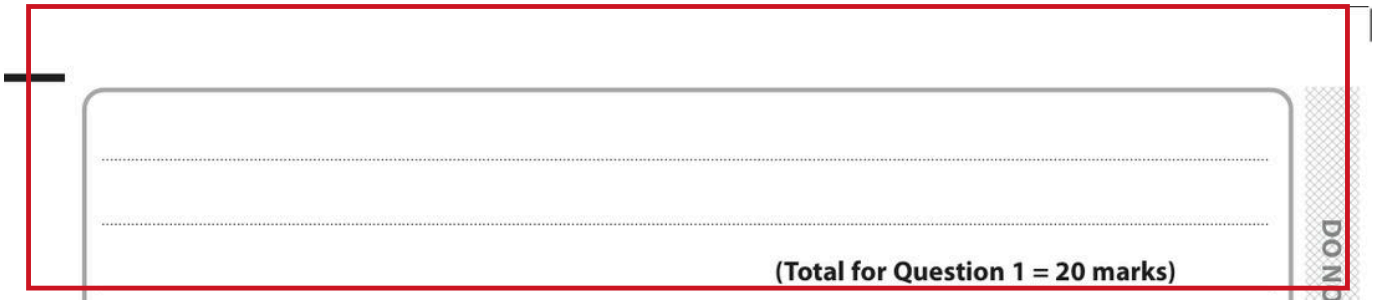
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.



Working and answer

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

OLevels.COM — SCHOOL —

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

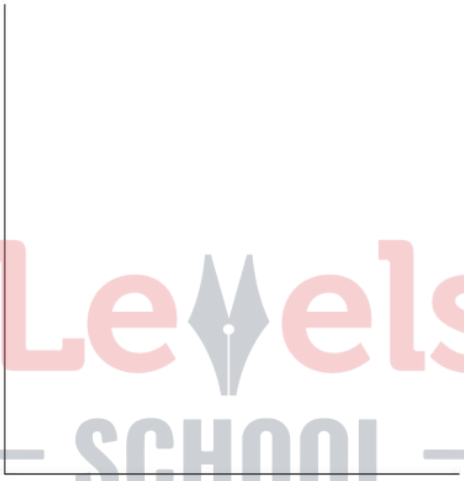


Figure 2

OLevels.COM SCHOOL

2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

Technology has been used to perform some of the jobs previously done for many years by humans, for example, robots in factories and self-checkout machines. This substitution of capital for labour is likely to increase as technology advances. At most call centres, humans currently respond to customer queries but Google has developed an automated assistant. Many telecom firms have switched to using calls made by these automated assistants.

(d) With reference to the data above and your knowledge of economics, analyse how the demand for labour might be affected by the use of machines.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

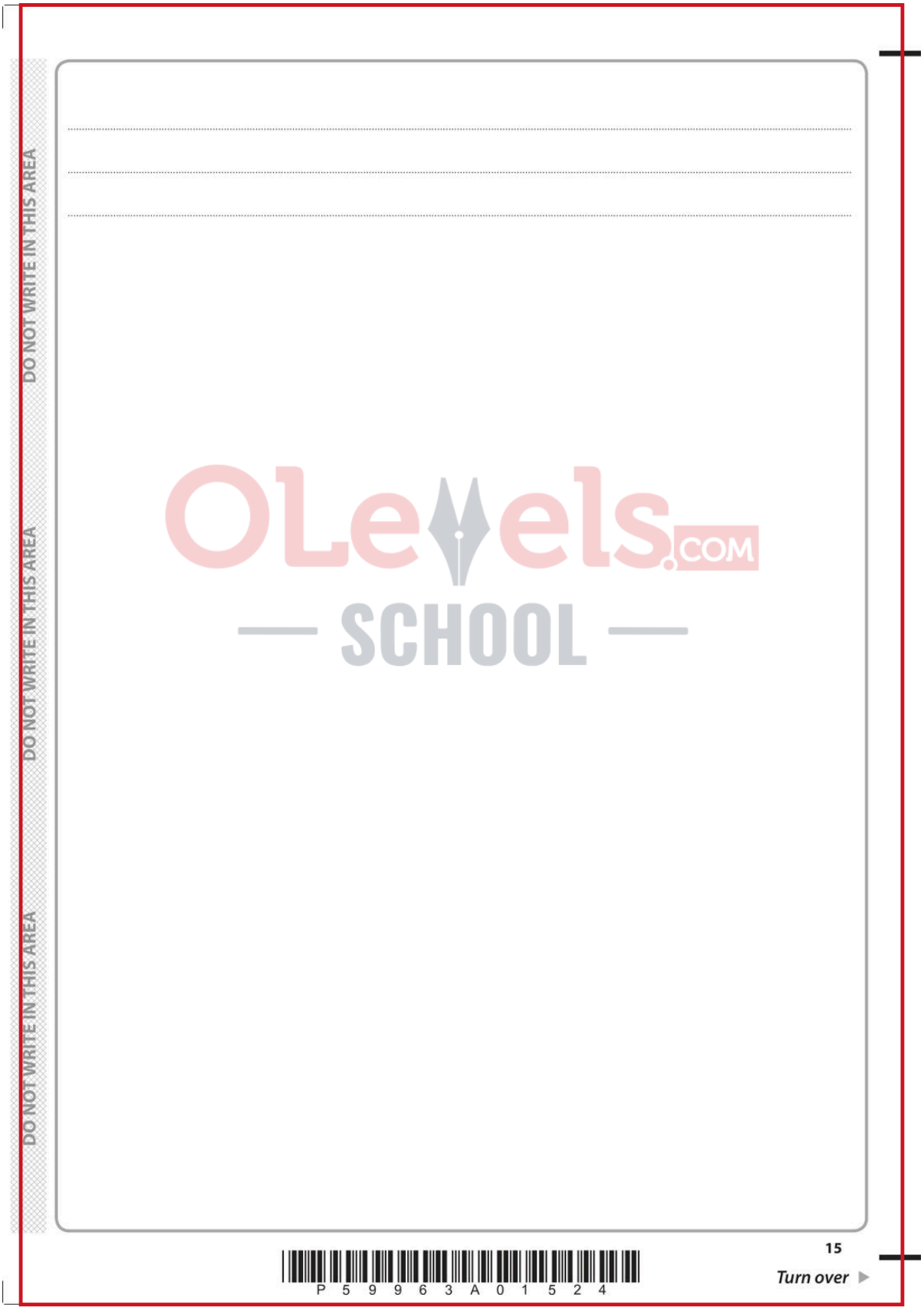
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.



2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

There are many reasons for firework displays. The 'bang', 'pop' and 'whizz' sounds, along with wide-ranging displays of colourful sparks are used to celebrate religious festivals and historical occasions, as well as private and public events. Some events charge an entry fee but people are still able to see and hear the fireworks without entering the venues. Former military personnel have complained this can bring back negative memories relating to war experiences. It can also disturb animals that are frightened by the loud noises.

(e) With reference to the data above and your knowledge of economics, assess whether fireworks have more negative than positive externalities.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16

P 5 9 9 6 3 A 0 1 6 2 4

2. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

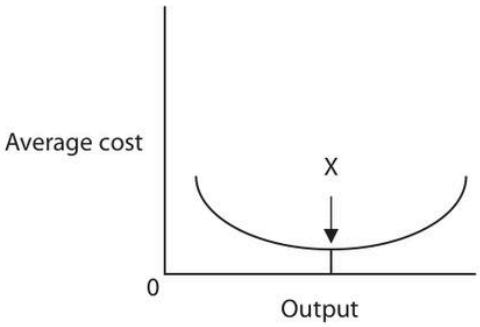


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 2 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

10

P 6 2 6 4 1 R A 0 1 0 2 8

3. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

OLevels.com SCHOOL

4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

In 2019, the National Health Service (NHS) in England began a campaign to check the records of all children who had been given the measles, mumps and rubella (MMR) vaccination. Those children missing the MMR vaccination were then invited to make an appointment to receive the vaccination.

(Source adapted from: https://www.gov.uk/government/publications/mmr-catch-up-for-10-to-11-year-old-children-information-for-gps)

(d) With reference to the data above and your knowledge of economics, analyse why vaccinations may be an external benefit.

(6)

OLevels.COM SCHOOL

4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Each year, in the UK there are an increasing number of shops closing down in town centres. At least 10% of all shops have been empty for the last five years. At the same time online sales are growing and reached more than 20% of total retail sales in 2019.

The continuing development of technology has made it easier for consumers to buy online. However, this is at a cost to some shop employees whose jobs have been replaced by machines that send out online orders from warehouses.

(e) With reference to the data above and your knowledge of economics, assess whether the availability of substitutes, such as machines, will reduce the demand for labour.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.



4. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

4 The demand for meals over three lunchtimes at a café in Austria is shown below.

Day	Quantity of meals demanded
Thursday	58
Friday	64
Saturday	79

Figure 5

(a) Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.

(2)

OLevels.com SCHOOL

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

The market structure of the airline industry is an oligopoly. Major airlines, such as Emirates, Lufthansa, Qantas and Delta Airlines compete with one another over the routes they offer. Passengers are able to travel to countries worldwide for work, leisure and to visit family and friends.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

During music festivals and sporting events, such as football matches, higher numbers of security staff are employed at stadiums than at other times. At supermarkets, more employees are needed to sell an increased amount of groceries ahead of special holidays and national celebrations.

Technological advances mean that machines are increasingly used in many industries, especially where it leads to greater productivity. These can range from waiters being replaced by robots in restaurants, to automated services dealing with online customer issues, to the more traditional machinery used in manufacturing.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour.

(12)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 4 0 5 7 A 0 2 1 2 4

21

Turn over

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



OLevels.com SCHOOL

5. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL